

The margins of safety above suggested are materially higher than those hitherto accepted as adequate, and it may be objected that we are imposing requirements of unreasonable and prohibitive stringency. It is true that these requirements would have disqualified a large part of the preferred-stock financing done in the years prior to 1931, but such severity would have been of benefit to the investing public. A general stabilization of business and financial conditions may later justify a more lenient attitude towards the minimum earnings coverage, but until such stabilization has actually been discernible over a considerable period of time the attitude of investors towards preferred stocks must remain extremely critical and exacting.

Class of enterprise	Minimum current stock-value ratio	
	For investment bonds	For investment preferred stocks
Public utilities	\$2 bonds to \$1 stock	\$1½ bonds and preferred to \$1 junior stock
Railroads	\$1½ bonds to \$1 stock	\$1 bonds and preferred to \$1 junior stock
Industrials	\$1 bonds to \$1 stock	\$1 bonds and preferred to \$1½ junior stock

Referring to the list of preferred stocks given in Chap. 14, it will be noted that in the case of all the *industrial* issues the stock-value ratio at its lowest exceeded 1.6 to 1, and also that the average earnings coverage exceeded 5.6 times.¹

Mere Presence of Funded Debt Does Not Disqualify Preferred Stocks for Investment. It is proper to consider whether an investment rating should be confined to preferred stocks not preceded by bonds. That the absence of funded debt is a desirable feature for a preferred issue goes without saying; it is an advantage similar to that of having a first mortgage on a property instead of a second mortgage. It is not surprising, therefore, that preferred stocks without bonds ahead of them have *as a*

¹ We do not consider it necessary to suggest an increase in minimum *size* above the figures recommended for investment bonds.